FILED
3rd JUDICIAL DISTRICT COURT
Dona Ana County
8/6/2024 12:42 PM
BERNICE A. RAMOS
CLERK OF THE COURT
Claudine Bernal

STATE OF NEW MEXICO
COUNTY OF DONA ANA
THIRD JUDICIAL DISTRICT

AMERICAN AgCREDIT, FLCA,

Plaintiff,

v.

Case No. D-307-CV-2024-01831

Fitch, Casey B.

WALTON FARMS, LLC,
CHARLES RAY WALTON, the
unknown heirs of CHARLES RAY
WALTON, and MERLINDA D. AMBRA
WALTON,

Defendants.

COMPLAINT TO COLLECT COMMERCIAL PROMISSORY NOTE AND FORECLOSE COMMERCIAL REAL ESTATE MORTGAGE

Plaintiff American AgCredit, FLCA, successor by merger to Farm Credit of New Mexico, FLCA ("Plaintiff"), by counsel, for this cause of action, states:

ALLEGATIONS COMMON TO ALL COUNTS

1. Plaintiff is a lending entity organized under the Farm Credit Act and authorized to bring this action in the State of New Mexico pursuant to NMSA 1978 § 38-1-18 (2013) or NMSA 1978 § 53-17-1 NMSA (2013).

2. Effective October 1, 2023, Farm Credit of New Mexico ("FCNM") was merged into Plaintiff. A true and correct copy of the merger document is attached hereto as Exhibit A.

3. Plaintiff is the owner and rightful party to enforce the loan documents that are subject to this matter.

4. Walton Farms, LLC ("Walton Farms") is a New Mexico limited liability company that owns real estate in Dona Ana County, New Mexico.

5. Merlinda D. Ambra Walton ("Merlinda Walton") is an individual residing in or doing business in Dona Ana County, New Mexico.

6. Charles Ray Walton ("Charles Walton") was an individual residing in or doing business in Dona Ana County, New Mexico.

7. Upon information and belief, Charles Walton is deceased. Charles Walton's unknown heirs (the "Heirs") are therefore named as parties to this action.

8. Together, Walton Farms, Merlinda Walton, and Charles Walton are herein referred to as the "Borrowers."

9. This action involves real property in Dona Ana County, New Mexico.

10. Jurisdiction and venue are proper in this Court.

COUNT I -- COLLECTION OF NOTE

11. Plaintiff incorporates the foregoing allegations.

12. On or about August 6, 2019, FCNM and Borrowers entered into a Business Loan Agreement. A true and correct copy of the Business Loan Agreement is attached hereto as Exhibit B.

13. Pursuant to the terms of the Business Loan Agreement, on or about August 6, 2019, FCNM loaned $397,500.00 to the Borrowers, and as evidence of the debt, the Borrowers executed a commercial promissory note (the "Note") of the same date in the principal amount of $397,500.00. A true and correct copy of the Note is attached hereto as Exhibit C.

14. The Note provides for a variable annual interest rate with an initial rate of 6.250% per annum. *See* Exhibit C.

15. Plaintiff is holder of the Note, has physical possession of the original Note, and is entitled to enforce the Note.

16. Borrowers have failed to pay the Note as agreed and the Note is in payment default.

17. Other events of default may exist.

18. Due to Borrowers' default under the Note, Plaintiff has accelerated the Note and the Note is due and payable in full.

19. Plaintiff has made written demand on Borrowers to pay the Note as agreed, but Borrowers have failed to do so.

20. Under the terms of the Note, Plaintiff is entitled to recover its collection costs, including reasonable attorney fees.

21. As of July 10, 2024, there was due and owing to Plaintiff under the Note a total of $499,916.02 consisting of principal of $381,930.62 plus interest of $68,742.47, plus late fees of $1,301.63, plus other costs incurred by Plaintiff in protecting and preserving it collateral of $47,941.30, plus interest accruing thereafter at the current interest rate of 10.25% per annum ($108.74413 per day), and any additional costs of collection that accrue, including reasonable attorney fees.

22. All amounts due under the Note through the date of judgment, together with all collection costs and all costs incurred by Plaintiff in preserving the subject property are together referred to as the "Indebtedness."

23. Plaintiff is entitled to a money judgment against the Borrowers, jointly and severely, in the amount of the Indebtedness.

COUNT II--FORECLOSURE OF MORTGAGE

24. Plaintiff incorporates the foregoing allegations.

25. To secure their obligations under the Note, the Borrowers executed and delivered a commercial real estate mortgage in favor of FCNM, which was recorded in the office of the

Dona Ana County Clerk on August 15, 2019 as Doc. No. 1918087 (the "Mortgage"). A true and correct copy of the Mortgage is attached hereto as Exhibit D.

26. The Mortgage encumbers the following real property in Dona Ana County, New Mexico:

Tract 1:

A tract of land situate South of Mesilla, Dona Ana County, New Mexico, located in Sections 31 and 32, T.23S., R.2E., N.M.P.M. of the U.S.R.S. Surveys, being U.S.R.S. Tract 13-lA, and being more particularly described as follows, to wit:

BEGINNING at a 1/2" iron rod set on the Northerly line of Carver Road for the Southwest corner of this tract: IDENTICAL to the Southwest corner of U.S.R.S. Tract 13-lA;

THENCE, from the point of beginning, leaving Carver Road. N.30°52'00"W., a distance of 873.88 feet to a 1/2" iron rod set for a corner;

THENCE S.59°08'00"W., a distance of 415.10 feet to a 1/2" iron rod set on the Easterly line of the Park Drain for a corner;

THENCE along the Easterly line of the Park Drain the following three courses and distances: N.31°09'00"W., a distance of 630.92 feet to a 1/2" iron md set for an angle point;

THENCE S.58°51'04"W. a distance of 27.70 feet to a 1/2" iron rod set for an angle point;

THENCE N.29°59'06"W., a distance of 382.21 feet to a 1/2" iron rod set for the Northwest corner of this tract;

THENCE, leaving the Park Drain, N.68°08'20"E., a distance of 620.17 feet to a 1/2" iron rod set for an angle point;

THENCE N.81°19'28"E. a distance of 416.52 feet to a 1/2" iron rod found for the Northeast corner of this tract;

THENCE S.31°l0'30"E., a distance of 798.18 feet to a 1/2" iron rod set for a corner;

THENCE S.60°40'00'W., a distance of 512.60 feet to a 1/2" iron rod set for a corner;

THENCE S.30°52'00"E., a distance of 846.79 feet to a 1/2" iron rod set on the Northerly line of Carver Road for the Southeast corner of this tract;

THENCE, along the Northerly line of Carver Road, S.60°03'30"W., a distance of 50.01 feet to the point of beginning: SAVING AND EXCEPTING the following 1.264 acre tract: BEGINNING at a 1/2" iron rod found for the Southeast corner of this tract: WHENCE the Southwest corner of U.S.R.S. Tract 13-lA bears S.09°54'33"E., 1240.76 feet;

THENCE, from the point of beginning, S.63°03'37"W., 452.90 feet to a 1/2" iron rod found for the
Southwest corner;

THENCE N.26°39'23"W., 207.55 feet to a 1/2" iron rod found for the Northwest corner;

THENCE N.77°57'43"E., 191.13 feet to a 1/2" iron rod found for an angle point;

THENCE S.86°16'40"E., 310.61 feet to the point of beginning, leaving a net acreage of 20.819 acres,
more or less.

Parcel 1:

A tract of land situate South of Mesilla, Dona Ana County, New Mexico, located in Section 31 and 32, T.23S., R.2E., N.M.P.M. of the U.S.R.S. Surveys, being U.S.R.S. Tract 13-3C, and being more particularly described as follows, to wit:

BEGINNING at a 1/2" iron rod found for the Southeast corner of this tract:

WHENCE the Southwest corner of U.S.R.S. Tract 13-lA and the Southwest corner of the above described 20.819 acre tract bears S.09°54'33"E., 1240.76 feet;

THENCE, from the point of beginning, S.63°03'37"W., a distance of 452.90 feet to a 1/2" iron rod found for the Southwest corner of this tract;

THENCE N.26°39'23"W., a distance of 207.55 feet to a 1/2" iron rod found for the Northwest corner of this tract;

THENCE N.77°57'43"E., a distance of 191.13 feet to a 1/2" iron rod found for an angle point;

THENCE S.86°16'40"E., a distance of 310.61 feet to the point of beginning, enclosing 1.264 acres of land, more or less.

Parcel 2:

A non-exclusive easement for road purposes for access to and from the above described Parcel 1, being more fully described as follows:

BEGINNING at a point on the Northerly line of Carver Road, being the Southwest corner of this easement and the Southwest corner of U.S.R.S Tract 13-3A;

THENCE from the point beginning, N.30°52'00"W., 1189.14 feet to the Northwest corner of this easement, and the southerly boundary of Parcel 1 above;

THENCE N.63°03'37"E., 50.12 feet along the southerly boundary of Parcel 1 to the Northeast corner of this easement;

THENCE S.30°52'00"E., 1186.52 feet to a 1/2" iron rod set on the Northerly line of Carver Road, being the Southeast corner of this easement and the Southeast corner of U.S.R.S. Tract 13-3A; THENCE S.60°03'30"W., 50.01 feet, more or less, along the Northerly line of Carver Road to the place of beginning.

(the "Property").

27. Plaintiff is the owner of, and has the right to enforce, the Mortgage.

28. The Mortgage is in default and Plaintiff is entitled to a judgment foreclosing the Mortgage and ordering the Property sold.

29. The Mortgage provides that the period of redemption shall be limited to one month after the date of sale, that Plaintiff may purchase the Property or any part thereof at a special master's sale.

30. All conditions precedent to enforcement of the Mortgage have occurred.

31. The interests of all defendants, and all persons claiming an interest in the Property by reason of liens, encumbrances, or other interests filed after Plaintiff's notice of lis pendens filed in this action, including but not limited to the Heirs, are junior to Plaintiff's first mortgage lien rights, and should be foreclosed and forever barred with respect to the Property.

32. Under the terms of the Mortgage, Plaintiff is entitled to recover its collection costs, including reasonable attorney fees; all costs of preserving the Property, including the payment of property taxes, insurance costs, the cost of necessary utilities, all costs of repair, and similar costs, as set forth in the Mortgage.

PRAYER FOR RELIEF

WHEREFORE, PLAINTIFF prays:

A. For a money judgment against the Borrowers, jointly and severely, in the amount of the Indebtedness;

B. That the lien of the Mortgage be declared the senior, first, and prior lien on the Property, superior and prior to the right, title, or interest of Borrowers, the Heirs, any defendant named herein and any persons with interests or encumbrances recorded after the notice of lis pendens;

C. That the lien of the Mortgage be foreclosed against the Property to the extent of the Indebtedness, plus all additional amounts determined to be due and owing as of the date of the foreclosure sale;

D. For a judgment barring and foreclosing: (i) all persons whose conveyance or encumbrance is recorded after the filing of the notice of lis pendens in this action and (ii) all liens, mortgages, and other interests in the Property junior to the Mortgage, including Borrowers' ownership interests and the rights of anyone claiming ownership interest through any of the Borrowers, if any, of all right, claim, lien, or equity of redemption in the Property, except for a one month right of redemption;

E. That the Property be decreed sold according to law, and that a special master be appointed for that purpose;

F. That the period of redemption be limited to one month, as provided in the Mortgage;

G. That the special master's sale of the Property be subject to existing and prior reservations, restrictions, easements, rights-of-way, water rights, ditch rights, accrued and unpaid *ad valorem* taxes, if any, owed on the Property, and other such matters of record, if any;

H. That the special master be authorized to advertise and sell the Property for cash or immediately available funds, in accordance with law and custom;

I. That the special master be authorized to postpone the sale from time to time in his/her discretion without further notice, and to convey the Property by special master's deed(s) to the purchaser at the foreclosure sale;

J. That the proceeds of the special master's sale be applied first, in payment of the Special Master's fees and expenses of sales; second, in payment of Plaintiff's money judgment and any other amounts secured by the Mortgage; and third, as directed by the Court;

K. That Plaintiff be allowed but not required to bid its judgment amount, or any portion of it, as a credit on the purchase of the Property at the special master sale, if Plaintiff in its absolute discretion chooses to do so;

L. That, if any lienholder with a lien junior to the Mortgage is awarded a money judgment, such junior lienholder must first pay Plaintiff's entire judgment in cash before that junior lienholder may bid any part of its judgment as a credit bid at the foreclosure sale;

M. That the Special Master execute a deed(s) to the purchaser(s), and that the purchaser(s) be let into possession of the Property upon production of the Special Master's deed(s) therefore;

N. That the Sheriff of Dona Ana County be directed to assist the purchaser in obtaining possession of the Property after the sale, by writ of assistance or otherwise;

O. That Plaintiff be given a deficiency judgment against the Borrowers, jointly and severally, to the extent the proceeds from the special master's sale of the Property are insufficient to pay the Indebtedness in full;

P. That Plaintiff have such other and further relief as may be necessary for the protection, preservation, and maintenance of the Property;

Q. For costs and attorney fees; and

R. For all other just and proper relief.

WALKER & ASSOCIATES, P.C.

By: */s/Samuel I. Roybal*

Thomas D. Walker
Samuel I. Roybal
500 Marquette Ave. NW, Suite 650
Albuquerque, NM 87102
(505) 766-9272
(505) 766-9287 facsimile
twalker@walkerlawpc.com
sroybal@walekrlawpc.com
Attorneys for Plaintiff

Exhibit A

Amended and Restated Charter

American AgCredit, ACA
Sonoma County, California

The Farm Credit Administration, in accordance with the Farm Credit Act of 1971, as amended (Act), hereby amends and restates the charter of American AgCredit, ACA (Association), an agricultural credit association. The Association is affiliated with CoBank, ACB. The location of the principal office of the Association shall be in Santa Rosa, California. The Association is a Farm Credit System institution and a federally chartered instrumentality.

By this amended and restated federal charter, the Farm Credit Administration hereby authorizes the Association to exercise all powers conferred on the Association under the Act and the regulations of the Farm Credit Administration within the following territory:

> In the State of California, the counties of Alameda, Alpine, Amador, Calaveras, Contra Costa, Del Norte, El Dorado, Humboldt, Lake, Lassen, Marin, Mariposa, Mendocino, Merced, Modoc, Monterey, Napa, Orange, Plumas, Riverside, San Benito, San Bernardino, San Diego, San Francisco, San Joaquin, San Mateo, Santa Clara, Santa Cruz, Sierra, Siskiyou, Sonoma, Stanislaus, Tuolumne; that portion of Fresno County described as follows: Township 13S, Range 10E; Townships 12S and 13S, Range 11E; Townships 11S, 12S, and 13S, Range 12E; Townships 10S, 11S, and 12S, Range 13E; that part of Los Angeles County lying south of the north line of Township 3N, San Bernardino Baseline and Meridian; that portion of Mono County lying north of the township line common to Townships 2N and 3N, Mount Diablo Base and Meridian ("MDB&M"); that portion of Sacramento County lying south and east of a line beginning at the intersection of the Sacramento River with the line of division between Township 6N and Township 7N, MDB&M, thence easterly to the intersection of said line of division with the Grant Line Road, thence northeasterly along said Grant Line Road to the intersection of said road with the easterly line of Section 22, Township 8N, Range 7E, MDB&M, thence north to the American River, thence, northeasterly along the American River to the north boundary of Sacramento County; and that portion of Trinity County west of the crest of the Coast Ranges.
>
> In the State of Colorado, the counties of Adams, Arapahoe, Archuleta, Boulder, Broomfield, Clear Creek, Delta, Denver, Dolores, Douglas, Eagle, Elbert (except Townships 11S - 13S inclusive in Ranges 57W – 59W inclusive), Garfield, Gilpin, Grand, Gunnison, Jackson, Jefferson, La Plata, Larimer, Mesa, Moffat, Montezuma, Montrose, Ouray, Pitkin, Rio Blanco, Routt, San Juan, San Miguel, Summit, and Weld, and that part of Hinsdale and Saguache Counties lying north and west of the Continental Divide, and Townships 37N and 38N in Ranges 3W, 4W, and 5W in Hinsdale County.
>
> The State of Hawaii.

In the State of Kansas, the counties of Barber, Barton, Butler, Chautauqua, Clark, Cloud, Comanche, Cowley, Edwards, Elk, Ellis, Ellsworth, Finney, Ford, Graham, Grant, Gray, Greeley, Greenwood, Hamilton, Harper, Harvey, Haskell, Jewell, Kearny, Kingman, Kiowa, Lane, Lincoln, McPherson, Meade, Mitchell, Morton, Norton, Osborne, Ottawa, Pawnee, Phillips, Pratt, Reno, Republic, Rice, Rooks, Rush, Russell, Saline, Scott, Sedgwick, Seward, Smith, Stafford, Stanton, Stevens, Sumner, Trego and Wichita.

The State of Nevada.

In the State of New Mexico, in all counties, the lending authorities granted under Title I of the Act, and, in the counties of Chaves, Dona Ana, Eddy, Grant, Hidalgo, Lea, Lincoln, Luna, Otero, San Juan, and Sierra, and, for that half of Rio Arriba County lying west of the Continental Divide, the lending authorities granted under Title II of the Act.

In the State of Oklahoma, the counties of Kay, Noble, and Osage.

The Association is subject to Conditions of Approval imposed by the Farm Credit Administration and are attached hereto.

IN WITNESS WHEREOF, the Chairman and Chief Executive Officer (CEO) of the Farm Credit Administration has executed this amended and restated charter and caused the seal of the Farm Credit Administration to be affixed hereto. This charter shall be effective October 1, 2023.

Charter No. 7703

FARM CREDIT ADMINISTRATION
McLean, Virginia

Vincent G. Logan
Chairman and CEO

Attest

Ashley Waldron
Secretary to the Board

Farm Credit Administration

1501 Farm Credit Drive
McLean, VA 22102-5090
(703) 883-4000

September 25, 2023

Mr. Gary Harshberger, Chairman
Board of Directors
American AgCredit, ACA
P.O. Box 1120
Santa Rosa, CA 95402-1120

Mr. James Duffey, Chairman
Board of Directors
Farm Credit of New Mexico, ACA
P.O. Box 94330
Albuquerque, NM 87199

Dear Messrs. Harshberger and Duffey:

The Farm Credit Administration (FCA, we, or our) Board grants final approval of the request to merge Farm Credit of New Mexico, ACA (New Mexico), with and into American AgCredit, ACA (American AgCredit), pursuant to section 7.8 of the Farm Credit Act of 1971, as amended. Also, the FCA Board grants final approval for the mergers of the subsidiaries of New Mexico – Production Credit Association of Southern New Mexico, and Farm Credit of New Mexico, FLCA – with and into the subsidiaries of American AgCredit – American AgCredit, PCA, and American AgCredit, FLCA – respectively. The merger is effective October 1, 2023.

We will amend and restate the charters of American AgCredit and its subsidiaries to include the territory of New Mexico and its subsidiaries, effective October 1, 2023. Subsequent to the effective date of the merger, we will send the amended and restated charters to Mr. Curt Hudnutt, President and Chief Executive Officer of the continuing associations. Upon consummation of the merger, we will cancel the charters of New Mexico and its subsidiaries.

As of October 1, 2023, the merged associations will be subject to the Conditions of Approval and Conditions of Merger attached to our preliminary approval letter as Appendix A and Appendix B, respectively. The Conditions of Approval are also referenced in and attached to the amended and restated charters.

We remind you that FCA will assess the merged association a single assessment beginning with fiscal year 2025. Until such time, the continuing associations will pay the FCA assessments based on the constituent associations that existed as of September 15, 2023.

Finally, please notify me if there is a change to any provision of the bylaws adopted immediately after the merger effective date if that change is materially different from the bylaw provisions included in the shareholder disclosure document.

Sincerely,

Kevin J. Kramp, Director
Office of Regulatory Policy

Copy to: Mr. Curt Hudnutt, President and Chief Executive Officer
American AgCredit, ACA

Mr. Thomas E. Halverson, President and Chief Executive Officer
CoBank, ACB

Mr. Kevin J. Feeley
McDermott Will & Emery LLP

AMERICAN AGCREDIT, ACA, FLCA, & PCA
JOINT BOARD OF DIRECTORS RESOLUTION

WHEREAS, American AgCredit, ACA, ("American AgCredit") has negotiated the terms of an agreement with Farm Credit of New Mexico, ACA ("FC of New Mexico"), under which FC of New Mexico would merge with and into American AgCredit (the "Merger").

WHEREAS, as part of the plan of Merger, Farm Credit of New Mexico, FLCA ("FC of New Mexico FLCA") and Production Credit of Southern New Mexico ("FC of New Mexico PCA"), respectively, would merge with and into American AgCredit, FLCA ("American AgCredit FLCA") and American AgCredit, PCA ("American AgCredit PCA"), and the separate corporate existences of FC of New Mexico FLCA and FC of New Mexico PCA shall terminate.

WHEREAS, the Farm Credit Act of 1971, as amended (the "Act"), and the regulations thereunder require that an association seeking to merge with another association must obtain board of director approval of such merger before the merger is submitted for approval to the association's Farm Credit Bank (the "Bank") and the Farm Credit Administration.

WHEREAS, the Board of Directors has determined that it is in the best interests of American AgCredit and its stockholders to approve the Merger.

NOW, THEREFORE, BE IT RESOLVED, that the Merger is hereby approved, recommended and authorized pursuant to the Act, applicable regulations, and in accordance with the terms and conditions of the Agreement and Plan of Merger attached hereto as Exhibit A (the "Agreement").

BE IT FURTHER RESOLVED, that Curt Hudnutt is hereby authorized and directed to carry out the intent and purpose of this resolution, obtain required Bank and FCA approvals of the Merger, convene the necessary stockholders' meeting, and perform any other act deemed necessary or helpful to effectuate the Merger.

BE IT FURTHER RESOLVED, that Gary Harshberger, Curt Hudnutt and Vern Zander are hereby authorized to sign the required certification of unaudited financial statements contained in the request for FCA approval of the Merger.

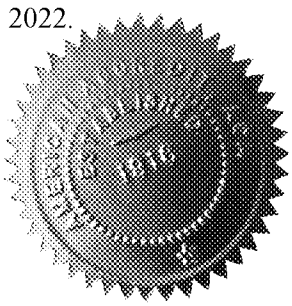
BE IT FURTHER RESOLVED, that Gary Harshberger and Curt Hudnutt are hereby directed and authorized to execute the Agreement in substantially the same form as set forth in Exhibit A, subject to such changes as may be requested by the Bank and FCA that they deem to be acceptable.

****

CERTIFICATION OF CORPORATE SECRETARY

The undersigned, as corporate secretary of American AgCredit, American AgCredit, FLCA and American AgCredit, PCA hereby certifies that their respective Board of Directors adopted the foregoing resolutions at a duly called meeting of the Boards of Directors on the 26th day of October, 2022, at which meeting a quorum of each of the Boards of Directors was at all times present and acting; that the passage of said resolutions was in all respects legal, and that said resolutions are in full force and effect.

Dated this 26th day of October, 2022.



_____
Rachel Angress, Corporate Secretary

EXHIBIT B

BUSINESS LOAN AGREEMENT

AGREEMENT DATE	LOAN NUMBER	
August 6, 2019	2727328	

BORROWER INFORMATION

Walton Farms, LLC a New Mexico limited liability company
792 Carver Rd
Las Cruces , NM 88005

Type of Business Entity: Limited Liability Company
State of Organization/Formation: New Mexico

Charles Ray Walton
3441 Park Ridge Place
Las Cruces , NM 88005

Type of Entity: Individual
State of Residence: New Mexico

Merlinda D Ambra Walton
3441 Park Ridge Place
Las Cruces , NM 88005

Type of Entity: Individual
State of Residence: New Mexico

AGREEMENT. This Business Loan Agreement will be referred to in this document as the "Agreement." This Agreement is made by Farm Credit of New Mexico, FLCA, a wholly owned subsidiary of Farm Credit of New Mexico, ACA (Lender), and Walton Farms, LLC a New Mexico limited liability company, Charles Ray Walton, and Merlinda D Ambra Walton (Borrower). The consideration is the promises, representations, and warranties made in this Agreement and the Related Documents.

DEFINITIONS. These definitions are used in this Agreement.

"Collateral" means the Property that any Party to this Agreement or the Related Documents may pledge, mortgage, or give Lender a security interest in, regardless of where the Property is located and regardless of when it was or will be acquired, together with all replacements, substitutions, proceeds, and products of the Property.

"Events of Default" means any of the events described in the "Events of Default" section of this Agreement.

"Financial Statements" mean the balance sheets, earnings statements, and other financial information that any Party has, is, or will be giving to Lender.

"Indebtedness" means the Loan and all other loans and indebtedness of Borrower to Lender, including but not limited to Lender's payments of insurance or taxes, all amounts Lender pays to protect its interest in the Collateral, overdrafts in deposit accounts with Lender, and all other indebtedness, obligations, and liabilities of Borrower to Lender, whether matured or unmatured, liquidated or unliquidated, direct or indirect, absolute or contingent, joint or several, due or to become due, now existing or hereafter arising.

"Loan" means any loan or loans and all other indebtedness, obligations, and liabilities of Borrower to Lender, due or to become due, now existing or hereafter arising, as well as any and all amendments, modifications, extensions, and renewals thereof.

"Parties" means any Borrower signing this Agreement.

"Party" means any Borrower signing this Agreement.

"Property" means the Parties' assets, regardless of what kind of assets they are.

"Related Documents" means all documents, promissory notes, security agreements, leases, mortgages, construction loan agreements, assignments of leases and rents, guaranties, pledges, and all other documents or agreements executed in connection with this Agreement as such documents may be modified, amended, substituted, or renewed from time to time. The term includes both documents existing at the time of execution of this Agreement and documents executed after the date of this Agreement.

BORROWER'S REPRESENTATIONS AND WARRANTIES. The statements made in this section will continue and remain in effect until all of the Indebtedness is fully paid to Lender. Each Borrower represents and warrants to Lender the following:

Borrower's Existence and Authority. Each Borrower is duly formed and in good standing under all laws governing the Borrower and the Borrower's business, and each Borrower executing this Agreement has the power and authority to execute this Agreement and the Related Documents and to bind that Borrower to the obligation created in this Agreement and the Related Documents.

Financial Information and Filing. All Financial Statements provided to Lender have been prepared and will continue to be prepared in accordance with generally accepted accounting principles, consistently applied, and fully and fairly present the financial condition of each Borrower, and there has been no material adverse change in Borrower's business, Property, or condition, either financial or otherwise, since the date of Borrower's latest Financial Statements. Each Borrower has filed all federal, state, and local tax returns and other reports and filings required by law to be filed before the date of this Agreement and has paid all taxes, assessments, and other charges that are due and payable prior to the date of this Agreement. Each Borrower has made reasonable provision for these types of payments that are accrued but not yet payable. The Borrower does not know of any deficiency or additional assessment not disclosed in the Borrower's books and records.

All financial statements or records submitted to Lender via electronic means, including, but not limited to, facsimile, open internet communications or other telephonic or electronic methods, including, but not limited to, documents in Tagged Image Format Files ("TIFF") and Portable Document Format ("PDF") shall be treated as originals, and will be fully binding with full legal force and effect.

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Parties waive any right they may have to object to such treatment. Lender may rely on all such records in good faith as complete and accurate records produced or maintained by or on behalf of the Party submitting such records.

Title and Encumbrances. Borrower has good title to all of the Borrower's assets. All encumbrances on any part of the Property were disclosed to Lender in writing prior to the date of this Agreement.

Compliance with General Law. Each Borrower is in compliance with and will conduct its business and use its assets in compliance with all laws, regulations, ordinances, directives, and orders of any level of governmental authority that has jurisdiction over the Borrower, the Borrower's business, or the Borrower's assets.

Environmental Laws. Each Borrower is in compliance with all applicable laws and rules of federal, state, and local authorities affecting the environment, as all have been or are amended.

No Litigation/No Misrepresentations. There are no existing or pending suits or proceedings before any court, government agency, arbitration panel, administrative tribunal, or other body, or threatened against Borrower that may result in any material adverse change in the Borrower's business, property, or financial condition, and all representations and warranties in this Agreement and the Related Documents are true and correct and no material fact has been omitted.

COVENANTS. On the date of this Agreement and continuing until the Indebtedness is repaid and Borrower's obligations are fully performed, Borrower covenants as follows.

- Borrower(s) shall provide to Lender the following financial reports and such other reports with respect to the financial condition and operations of Borrower(s) as Lender may from time to time reasonably request:

Borrower shall provide acceptable to Lender for such year in form and content acceptable to Lender. Failure to submit financial information as agreed may result in a servicing fee of .02% of the outstanding principal balance or $500 whichever is greater, which may be added to the outstanding principal balance.

- Borrower shall provide full and complete copies of all federal and state income tax returns, with supporting forms and schedules, including all K-1 statements applicable to the principal, as soon as available, but in no event later than 15 days subsequent to their filing. Failure to submit financial information as agreed may result in a servicing fee of .02% of the outstanding principal balance or $500 whichever is greater, which may be added to the outstanding principal balance.
- Borrower(s) covenant and agree that from the date of this Loan Agreement until payment in full of the principal of and interest on the Loan, Borrower(s) shall from time to time at Borrower's expense execute and deliver or endorse any and all instruments, documents, conveyances, assignments and other agreements and writings, make any records, file any notices, and obtain any consents, all as may be necessary or appropriate in connection herewith, which the Lender may reasonably request, to cure any defects in the creation, execution and delivery of this Loan Agreement or the other loan documents or protect, perfect or enforce the loan documents or the rights of Lender under this Loan Agreement or the other loan documents.
- The undersigned person's hereby acknowledge(s) that I/we have been informed by Lender that, although I/we may be required by the Lender to purchase insurance to cover the property that is being used as security for this loan, I/we may purchase that insurance from the insurance company or agent of my/our choice and cannot be required by the Lender, as a condition of the loan, to purchase or renew any policy of insurance covering the property, through any particular insurance company, agent, solicitor or broker. My/our signatures(s) on this form hereby acknowledge(s) my/our receipt of a true copy of this notice.
- As a mortgage lender, Lender is required to comply with the National Flood Insurance Act of 1994. Should any improvements on the property mortgaged to Lender be determined to be in a Flood Zone A, now or in the future where the community/county participates in Flood Insurance, Flood Insurance is required by law and will be secured by the applicant. Borrower(s) agree to maintain flood insurance, if required.
- It is hereby agreed by the Borrower that if any default be made in the performance or compliance with the covenants, promises and conditions of this Note or any other Note, Business Loan Agreement or other indebtedness to Production Credit Association of Southern New Mexico; Farm Credit of New Mexico, FLCA; and/or Farm Credit of New Mexico, ACA, at the option of the Lender, said default shall constitute a default under all notes, security agreements, mortgages, or other obligations of the Borrower to the Lender, and all said notes, security agreements, mortgages, or other obligations may be subject to foreclosure as provided for within said documents.
- Legal Access to the mortgaged property will be furnished and must be acceptable to Lender.
- All water and water rights used in the irrigation of the security are offered as primary collateral.
- In addition to its right to assign its interest and rights in any loan or lease made to Borrower(s), the Lender shall have the right to enter into a Participation Agreement with one or more other lending institutions (collectively Participants and individually a Participant) regarding any such loan made to Borrower(s) by the Lender and/or to sell to one or more Participants a portion in and to any such loan made to Borrower(s) by the Lender. Borrower(s) authorizes the Lender to share with and to provide to such Participant(s), any and all information concerning Borrower(s) (including, without limitation, all information concerning the financial condition, business or operations of Borrower(s) which is provided to, or obtained by, the Lender, whether from Borrower(s) or any other source. If a portion of your loan is participated, the participated amount will not be eligible for a patronage dividend.
- All fees associated with the loan will be charged to the loan.
- Borrower(s) are to provide insurance on improvements with a minimum coverage of against property damage (fire and extended coverage) with the Lender named as Mortgagee.
- In addition to its right to assign its interest and rights in any loan or lease made to Borrower(s), the Lender shall have the right to enter into a Long-term Standby Purchase Commitment with Farmer Mac for any such eligible loans made to Borrower(s) by the Lender. Borrower(s) authorizes the Lender to share with and to provide to Farmer Mac any and all information concerning Borrower(s) including, without limitation, all information concerning the financial condition, business or operations of Borrower(s) which is provided to, or obtained by, the Lender, whether from Borrower(s) or any other source.
- Borrower(s) understand and agree that all fees associated with the loan will be paid from the Undisbursed Loan Proceeds account. Borrower will receive a summary of all disbursements from this account once all fees have been paid.

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EVENTS OF DEFAULT. The occurrence of any of the following events will be an Event of Default.

Noncompliance with Lender Agreements. Default by Borrower under any provision of this Agreement, the Related Documents, or any other agreement with Lender.

False Statements. If a Party made or makes a false or misleading misrepresentation in this Agreement, in the Related Documents, in any supporting material submitted to Lender or to third parties providing reports to Lender, or in Financial Statements given or to be given to Lender.

Material Adverse Change. Any material adverse change in the Borrower's business, financial condition, or the Property has occurred or is imminent; if the full performance of the obligations of any Party is materially impaired; or if the Collateral and its value or Lender's rights with respect thereto are materially impaired in any way. The existence or reasonable likelihood of litigation, governmental proceeding, default, or other event that may materially and adversely affect a Party's business, financial condition, or the Property.

Insolvency or Liquidation. A Party voluntarily suspends transaction of its business or does not generally pay debts as they mature. If a Party has or will make a general assignment for the benefit of creditors or will file, or have filed against it, any petition under federal bankruptcy law or under any other state or federal law providing for the relief of debtors if the resulting proceeding is not discharged within thirty days after filing. If a receiver, trustee, or custodian is or will be appointed for a Party.

Default on Unrelated Debt. If Borrower materially defaults under a provision of an agreement with a third party or if the indebtedness under such an agreement is accelerated.

Judgments or Attachments. If there is entered against a Party a judgment that materially affects the Borrower's business, financial condition, or the Property, or if a tax lien, levy, writ of attachment, garnishment, execution, or similar item is or will be issued against the Collateral or which materially affects Borrower's business, financial condition, or the Property, and which remains unpaid, unstayed on appeal, undischarged, unbonded, or undismissed for thirty days after it was issued.

Collateral Impairment. Lender has a good-faith belief that Lender's rights in the Collateral are or will soon be impaired or that the Collateral itself is or soon will be impaired.

Termination of Existence or Change in Control. If Borrower or Borrower's business is sold or merged or if Borrower or Borrower's business suspends business or ceases to exist.

Insecurity. If Lender has a good-faith belief that any Party is unable or will soon be unable to perform that Party's duties under this Agreement or under the Related Documents.

Death. The death of an individual who is a Party, a partner in a partnership that is a Party, a member in a limited liability company that is a Party, an officer of a corporation that is a Party, or an individual of similar position in any other type of business organization that is a Party.

REMEDIES ON DEFAULT.

Remedies, No Waiver. The remedies provided for in this Agreement, the Related Documents, and by law are cumulative and not exclusive. Lender reserves the right to exercise some, all, or none of its rights and reserves the right to exercise any right at any time that Lender has the right, without regard to how much time has passed since the right arose. Lender may exercise its rights in its sole, absolute discretion.

Acceleration, Setoff. Upon an Event of Default, the Loan and the Indebtedness may, at Lender's sole option, be declared immediately due and payable. Lender may apply the Parties' bank accounts and any other property held by Lender against the Indebtedness.

CROSS COLLATERALIZATION. It is the intent of all Parties to cross collateralize all of its Indebtedness and obligations to Lender, howsoever arising and whensoever incurred, except any obligation existing or arising against the principal dwelling of any Party.

ATTORNEYS' FEES AND OTHER COSTS. Borrower agrees to pay all of Lender's costs and expenses incurred in connection with the enforcement of this Agreement, including without limitation, reasonable attorneys' fees, to the extent permitted by law.

EXPENSES. The Parties agree to pay all of Lender's reasonable expenses incidental to perfecting Lender's security interests and liens, all insurance premiums, Uniform Commercial Code search fees, and all reasonable fees incurred by Lender for audits, inspection, and copying of the Parties' books and records. The Parties also agree to pay all reasonable costs and expenses of Lender in connection with the enforcement of Lender's rights and remedies under this Agreement, the Related Documents, and any other agreement between one or more Parties and Lender, and in connection with the preparation of all amendments, modifications, and waivers of consent with respect to this Agreement, including reasonable attorneys' fees.

GOVERNING LAW/PARTIAL ILLEGALITY. This Agreement and the Related Documents are and will be governed by, and the rights of the Parties will be determined by the laws of the state of New Mexico except to the extent that federal law controls. If any part, term, or provision of this Agreement is determined to be illegal or in conflict with state or federal law, the validity of the remaining portion or provisions of this Agreement will not be affected, unless the stricken portion or provision adversely affects Lender's risk of realizing Lender's anticipated return, in which case Lender may, in its sole discretion, deem the Loan matured.

NOTICES. All notices required under this Agreement must be in writing and will be considered given: (i) on the day of personal delivery, or (ii) one business day after deposit with a nationally recognized overnight courier service, or (iii) three business days after deposit with the United States Postal Service sent certified mail, return receipt requested. Any of these methods may be used to give notice. All notices must be sent to the party or parties entitled to notice at the addresses first set forth in this Agreement. Any Party may change its address for notice purposes on five days prior written notice to the other Parties.

INTEGRATION AND AMENDMENT. This Agreement and other written agreements among the Parties, including but not limited to the Related Documents, are the entire agreement of the Parties and will be interpreted as a group, one with the others. None of the Parties will be bound by anything not expressed in writing, and this Agreement cannot be modified except by a writing executed by those Parties burdened by the modification.

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FURTHER ACTION. The Parties will, upon request of Lender, make, execute, acknowledge, and deliver to Lender the modified and additional instruments, documents, and agreements, and will take the further action that is reasonably required, to carry out the intent and purpose of this transaction.

CONTINUING EFFECT. Unless superseded by a later Business Loan Agreement, this Agreement will continue in full force and effect until the Parties' obligation to Lender is fully satisfied and the Loan and Indebtedness is fully repaid.

HEADINGS. All headings in this Agreement are included for reference only and do not have any effect on the interpretation of this Agreement.

COUNTERPARTS. This Agreement may be executed by the Parties using any number of copies of the Agreement. All executed copies taken together will be treated as a single Agreement.

TIME IS OF THE ESSENCE. Time is of the essence in the performance of this Agreement.

TRANSFERS. Borrower may not assign or transfer its rights or obligations under this Agreement without Lender's prior written consent. Lender may transfer its interest in Lender's sole discretion. Borrower waives all rights of offset and counterclaim Borrower has against Lender. The purchaser of a participation in the loan may enforce its interest regardless of any claims or defenses Borrower has against Lender.

JURISDICTION. The Parties agree to waive any objection to jurisdiction or venue on the ground that the Parties are not residents of Lender's locality. The Parties authorize any action brought to enforce the Parties' obligations to be instituted and prosecuted in any state court having jurisdiction or in the United States District Court for the District that includes Lender's location as set forth at the beginning of this Agreement. The Parties authorize Lender to elect the court at Lender's sole discretion.

WAIVER OF JURY TRIAL. All parties to this Agreement hereby knowingly and voluntarily waive, to the fullest extent permitted by law, any right to trial by jury of any dispute, whether in contract, tort, or otherwise, arising out of, in connection with, related to, or incidental to the relationship established between them in this Agreement or any other instrument, document or agreement executed or delivered in connection with this Agreement or the Related Documents.

ORAL AGREEMENTS DISCLAIMER. This Agreement represents the final agreement between the parties and may not be contradicted by evidence of prior, contemporaneous or subsequent oral agreements of the parties. There are no unwritten oral agreements between the parties.

By signing this Agreement, Borrower acknowledges reading, understanding and agreeing to all its provisions and receipt of a copy hereof.

Charles Ray Walton Individually	8/12/2019 Date	Merlinda D Ambra Walton Individually	8/12/19 Date

Walton Farms, LLC a New Mexico limited liability company

By: Charles R. Walton Its: Managing Member	8/12/2019 Date	By: Merlinda Walton Its: Managing Member	8/12/19 Date

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EXHIBIT C

COMMERCIAL PROMISSORY NOTE

LOAN NUMBER	NOTE DATE	PRINCIPAL AMOUNT	MATURITY DATE
2727328	August 6, 2019	$397,500.00	August 1, 2044

BORROWER INFORMATION

Walton Farms, LLC a New Mexico limited liability company
792 Carver Rd
Las Cruces , NM 88005

Charles Ray Walton
3441 Park Ridge Place
Las Cruces , NM 88005

Merlinda D Ambra Walton
3441 Park Ridge Place
Las Cruces , NM 88005

NOTE. This Commercial Promissory Note will be referred to in this document as the "Note."

LENDER. "Lender" means Farm Credit of New Mexico, FLCA, a wholly owned subsidiary of Farm Credit of New Mexico, ACA whose address is 2800 Las Vegas Ct, PO Box 15039, Las Cruces, New Mexico 88004, its successors and assigns.

BORROWER. "Borrower" means each person or legal entity who signs this Note.

PROMISE TO PAY. For value received, receipt of which is hereby acknowledged, on or before the Maturity Date, the Borrower promises to pay the principal amount of Three Hundred Ninety-seven Thousand Five Hundred and 00/100 Dollars ($397,500.00) and all interest on the outstanding principal balance and any other charges, including service charges, to the order of Lender at its office at the address noted above or at such other place as Lender may designate in writing. The Borrower will make all payments in lawful money of the United States of America.

PAYMENT SCHEDULE. This Note will be paid according to the following schedule: Due and payable in twenty five (25) annual installments on the 1st day of each successive August, as follows: The first installment shall consist of principal in the amount of $6,993.86 plus accrued interest, in the amount billed and shall be due and payable on August 01, 2020. The next twenty three (23) installments shall consist of principal and accrued interest in the amount of $31,837.61, and any remaining balance of principal and interest will mature, become fully due and payable, and shall be repaid no later than the later of the expiration date or ending term date. The unpaid principal balance of this Note, together with all accrued interest and charges owing in connection therewith, shall be due and payable on the Maturity Date. All payments received by the Lender from the Borrower for application to this Note may be applied to the Borrower's obligations under this Note in such order as determined by the Lender.

INTEREST RATE AND SCHEDULED PAYMENT CHANGES. Interest will begin to accrue on the date of this Note. The initial variable interest rate on this Note will be 6.250% per annum. This interest rate may change on August 15, 2019, and every Lender has the right, from time to time, to establish different rates of interest, either higher or lower than that stated. The new rates shall apply to the unmatured principal and shall remain in effect until lender establishes different rates thereafter. Each date on which the interest rate may change is called the "Change Date." Beginning with the first Change Date, Lender will calculate the new interest rate based on CoBank Administered Variable Rate in effect on the Change Date (the "Index"). The Index will be rounded to the fifth decimal.

If the Index is not available at the time of the Change Date, Lender will choose a new Index which is based on comparable information. The Index is used solely to establish a base from which the actual rate of interest payable under the Note will be calculated, and is not a reference to any actual rate of interest charged by any lender to any particular borrower.

Nothing contained herein shall be construed as to require the Borrower to pay interest at a greater rate than the maximum allowed by law. If, however, from any circumstances, Borrower pays interest at a greater rate than the maximum allowed by law, the obligation to be fulfilled will be reduced to an amount computed at the highest rate of interest permissible under applicable law and if, for any reason whatsoever, Lender ever receives interest in an amount which would be deemed unlawful under applicable law, such interest shall be automatically applied to amounts owed, in Lender's sole discretion, or as otherwise allowed by applicable law. Interest on this Note is calculated on a 360/360 day basis.

LATE PAYMENT CHARGE. Borrower agrees to pay a late payment penalty of (2%) above billing rate on installments not paid in full within ten (10) days of scheduled payment date and continuing until loan is brought current on all payments of: (1) principal and interest not paid when due; and (2) other payments including insurance, taxes, etc. not paid when due if Lender advances to make the payments.

PREPAYMENT PENALTY. This Note may be prepaid, in full or in part, at any time, without penalty.

RIGHT OF SET-OFF. To the extent permitted by law, Borrower agrees that Lender has the right to set-off any amount due and payable under this Note, whether matured or unmatured, against any amount owing by Lender to Borrower including any or all of Borrower's accounts with Lender. This shall include all accounts Borrower holds jointly with someone else and all accounts Borrower may open in the future. Such right of set-off may be exercised by Lender against Borrower or against any assignee for the benefit of creditors, receiver, or execution, judgment or attachment creditor of Borrower, or against anyone else claiming through or against Borrower or such assignee for the benefit of creditors, receiver, or execution, judgment or attachment creditor, notwithstanding the fact that such right of set-off has not been exercised by Lender prior to the making, filing or issuance or service upon Lender of, or of notice of, assignment for the benefit of creditors, appointment or application for the appointment of a receiver, or issuance of execution, subpoena or order or warrant. Lender will not be liable for the dishonor of any check when the dishonor occurs because Lender set-off a debt against Borrower's account. Borrower agrees to hold Lender harmless from any claim arising as a result of Lender exercising Lender's right to set-off.

RELATED DOCUMENTS. The words "Related Documents" mean all promissory notes, security agreements, mortgages, deeds of trust, deeds to secure debt, business loan agreements, construction loan agreements, resolutions, guaranties, environmental agreements, subordination agreements, assignments, and any other documents or agreements executed in connection with the indebtedness evidenced hereby this Note

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whether now or hereafter existing, including any modifications, extensions, substitutions or renewals of any of the foregoing. The Related Documents are hereby made a part of this Note by reference thereto, with the same force and effect as if fully set forth herein.

DEFAULT. Upon the occurrence of any one of the following events (each, an "Event of Default" or "default" or "event of default"), Lender's obligations, if any, to make any advances will, at Lender's option, immediately terminate and Lender, at its option, may declare all indebtedness of Borrower to Lender under this Note immediately due and payable without further notice of any kind notwithstanding anything to the contrary in this Note or any other agreement: (a) Borrower's failure to make any payment on time or in the amount due; (b) any default by Borrower under the terms of this Note or any other Related Documents; (c) any default by Borrower under the terms of any other agreement between Lender and Borrower; (d) the death, dissolution, or termination of existence of Borrower or any guarantor; (e) Borrower is not paying Borrower's debts as such debts become due; (f) the commencement of any proceeding under bankruptcy or insolvency laws by or against Borrower or any guarantor or the appointment of a receiver; (g) any default under the terms of any other indebtedness of Borrower to any other creditor; (h) any writ of attachment, garnishment, execution, tax lien or similar instrument is issued against any collateral securing the loan, if any, or any of Borrower's property or any judgment is entered against Borrower or any guarantor; (i) any part of Borrower's business is sold to or merged with any other business, individual, or entity; (j) any representation or warranty made by Borrower to Lender in any of the Related Documents or any financial statement delivered to Lender proves to have been false in any material respect as of the time when made or given; (k) if any guarantor, or any other party to any Related Documents terminates, attempts to terminate or defaults under any such Related Documents; (l) Lender has deemed itself insecure or there has been a material adverse change of condition of the financial prospects of Borrower or any collateral securing the obligations owing to Lender by Borrower. Upon the occurrence of an event of default, Lender may pursue any remedy available under any Related Document, at law or in equity.

GENERAL WAIVERS. To the extent permitted by law, the Borrower severally waives any required notice of presentment, demand, acceleration, intent to accelerate, protest, and any other notice and defense due to extensions of time or other indulgence by Lender or to any substitution or release of collateral. No failure or delay on the part of Lender, and no course of dealing between Borrower and Lender, shall operate as a waiver of such power or right, nor shall any single or partial exercise of any power or right preclude other or further exercise thereof or the exercise of any other power or right.

JOINT AND SEVERAL LIABILITY. If permitted by law, each Borrower executing this Note is jointly and severally bound.

SEVERABILITY. If a court of competent jurisdiction determines any term or provision of this Note is invalid or prohibited by applicable law, that term or provision will be ineffective to the extent required. Any term or provision that has been determined to be invalid or prohibited will be severed from the rest of this Note without invalidating the remainder of either the affected provision or this Note.

SURVIVAL. The rights and privileges of the Lender hereunder shall inure to the benefits of its successors and assigns, and this Note shall be binding on all heirs, executors, administrators, assigns, and successors of Borrower.

ASSIGNABILITY. Lender may assign, pledge or otherwise transfer this Note or any of its rights and powers under this Note without notice, with all or any of the obligations owing to Lender by Borrower, and in such event the assignee shall have the same rights as if originally named herein in place of Lender. Borrower may not assign this Note or any benefit accruing to it hereunder without the express written consent of the Lender.

ORAL AGREEMENTS DISCLAIMER. This Note represents the final agreement between the parties and may not be contradicted by evidence of prior, contemporaneous or subsequent oral agreements of the parties. There are no unwritten oral agreements between the parties.

GOVERNING LAW. This Note is governed by the laws of the state of New Mexico except to the extent that federal law controls.

HEADING AND GENDER. The headings preceding text in this Note are for general convenience in identifying subject matter, but have no limiting impact on the text which follows any particular heading. All words used in this Note shall be construed to be of such gender or number as the circumstances require.

ATTORNEYS' FEES AND OTHER COSTS. Borrower agrees to pay all of Lender's costs and expenses in connection with the enforcement of this Note including, without limitation, reasonable attorneys' fees, to the extent permitted by law.

STOCK INVESTMENT. Borrower acknowledges that ownership of issued stock may be required in order to qualify for a loan from Lender. Stock purchase, ownership, conversion, and retirement is subject to the terms, conditions, and designations of applicable federal law governing the Farm Credit System and regulations of the Farm Credit Administration. The principal balance of this Note may include any amount borrowed to purchase the stock. Borrower grants Lender a security interest in and first lien position on all stock purchased by Borrower.

WAIVER OF JURY TRIAL. All parties to this Note hereby knowingly and voluntarily waive, to the fullest extent permitted by law, any right to trial by jury of any dispute, whether in contract, tort, or otherwise, arising out of, in connection with, related to, or incidental to the relationship established between them in this Note or any other instrument, document or agreement executed or delivered in connection with this Note or the Related Documents.

By signing this Note, Borrower acknowledges reading, understanding, and agreeing to all its provisions and receipt hereof.

Charles Ray Walton Individually	Date	Merlinda D Ambra Walton Individually	Date

Walton Farms, LLC a New Mexico limited liability company

By: Charles R. Walton Its: Managing Member	Date	By: Merlinda Walton Its: Managing Member	Date

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EXHIBIT D

1918087 AUG 15, 2019 04:31:57 PM PAGES: 11
MORTGAGE Deputy: Gerardo Barrera
Amanda López Askin, County Clerk, Dona Ana, NM

SOUTHWESTERN
Abstract & Title Co.

swat #701-TM-2019/vy

(Space Above This Line For Recording Data)

LOAN NUMBER: 2727328

COMMERCIAL REAL ESTATE MORTGAGE

This COMMERCIAL REAL ESTATE MORTGAGE ("Security Instrument") is made on August 6, 2019 between the mortgagor(s) Walton Farms, LLC a New Mexico limited liability company, a New Mexico Limited Liability Company, whose address is 792 Carver Rd , Las Cruces , New Mexico 88005, and Merlinda D Ambra Walton and Charles Ray Walton, whose address is 3441 Park Ridge Place, Las Cruces , New Mexico 88005 ("Mortgagor"), and Farm Credit of New Mexico, FLCA, a wholly owned subsidiary of Farm Credit of New Mexico, ACA whose address is 2800 Las Vegas Ct, PO Box 15039, Las Cruces, New Mexico 88004 ("Lender"), which is organized and existing under the laws of the United States of America. Mortgagor owes Lender the principal sum of Three Hundred Ninety-seven Thousand Five Hundred and 00/100 Dollars (U.S. $397,500.00), which is evidenced by the promissory note dated August 6, 2019. Mortgagor in consideration of this loan and any future loans extended by Lender up to a maximum principal amount of Three Hundred Ninety-seven Thousand Five Hundred and 00/100 Dollars (U.S. $397,500.00) ("Maximum Principal Indebtedness"), and for other valuable consideration, the receipt of which is acknowledged, hereby mortgages, grants and conveys to Lender, its successors and assigns, forever, the following described property located in the county(ies) of Dona Ana, State of New Mexico:

Address: 792 Carver Road, Las Cruces, New Mexico 88047
Legal Description: See Addendum
Property Size: 22.08 acres.

Together with all easements, appurtenances abutting streets and alleys, improvements, buildings, fixtures, tenements, hereditaments, equipment, rents, income, profits and royalties, personal goods of whatever description and all other rights and privileges including all minerals, oil, gas, water (whether groundwater, subterranean or otherwise), water rights (whether riparian, appropriate or otherwise, and whether or not appurtenant to the above-described real property), wells, well permits, ditches, ditch rights, reservoirs, reservoir rights, reservoir sites, storage rights, dams and water stock that may now, or at any time in the future, be located on and/or used in connection with the above-described real property, payment awards, amounts received from eminent domain, amounts received from any and all insurance payments, and timber which may now or later be located, situated, or affixed on and used in connection therewith (hereinafter called the "Property").

This is a **PURCHASE MONEY MORTGAGE.**

RELATED DOCUMENTS. The words "Related Documents" mean all promissory notes, security agreements, prior mortgages, prior deeds of trust, prior deeds to secure debt, business loan agreements, construction loan agreements, resolutions, guaranties, environmental agreements, subordination agreements, assignments of leases and rents and any other documents or agreements executed in connection with this Indebtedness and Security Instrument, whether now or hereafter existing, including any modifications, extensions, substitutions or renewals

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This Document has been e-Recorded as

Reception No. 1918087 on 08-15-2019

In the office of the Dona Ana County Clerk

SOUTHWESTERN Abstract & Title Co.

swat #701-IM-2019/vy

(Space Above This Line For Recording Data)

LOAN NUMBER: 2727328

COMMERCIAL REAL ESTATE MORTGAGE

This COMMERCIAL REAL ESTATE MORTGAGE ("Security Instrument") is made on August 6, 2019 between the mortgagor(s) Walton Farms, LLC a New Mexico limited liability company, a New Mexico Limited Liability Company, whose address is 792 Carver Rd , Las Cruces , New Mexico 88005, and Merlinda D Ambra Walton and Charles Ray Walton, whose address is 3441 Park Ridge Place, Las Cruces , New Mexico 88005 ("Mortgagor"), and Farm Credit of New Mexico, FLCA, a wholly owned subsidiary of Farm Credit of New Mexico, ACA whose address is 2800 Las Vegas Ct, PO Box 15039, Las Cruces, New Mexico 88004 ("Lender"), which is organized and existing under the laws of the United States of America. Mortgagor owes Lender the principal sum of Three Hundred Ninety-seven Thousand Five Hundred and 00/100 Dollars (U.S. $397,500.00), which is evidenced by the promissory note dated August 6, 2019. Mortgagor in consideration of this loan and any future loans extended by Lender up to a maximum principal amount of Three Hundred Ninety-seven Thousand Five Hundred and 00/100 Dollars (U.S. $397,500.00) ("Maximum Principal Indebtedness"), and for other valuable consideration, the receipt of which is acknowledged, hereby mortgages, grants and conveys to Lender, its successors and assigns, forever, the following described property located in the county(ies) of Dona Ana, State of New Mexico:

Address: 792 Carver Road, Las Cruces, New Mexico 88047
Legal Description: See Addendum
Property Size: 22.08 acres.

Together with all easements, appurtenances abutting streets and alleys, improvements, buildings, fixtures, tenements, hereditaments, equipment, rents, income, profits and royalties, personal goods of whatever description and all other rights and privileges including all minerals, oil, gas, water (whether groundwater, subterranean or otherwise), water rights (whether riparian, appropriate or otherwise, and whether or not appurtenant to the above-described real property), wells, well permits, ditches, ditch rights, reservoirs, reservoir rights, reservoir sites, storage rights, dams and water stock that may now, or at any time in the future, be located on and/or used in connection with the above-described real property, payment awards, amounts received from eminent domain, amounts received from any and all insurance payments, and timber which may now or later be located, situated, or affixed on and used in connection therewith (hereinafter called the "Property").

This is a **PURCHASE MONEY MORTGAGE.**

RELATED DOCUMENTS. The words "Related Documents" mean all promissory notes, security agreements, prior mortgages, prior deeds of trust, prior deeds to secure debt, business loan agreements, construction loan agreements, resolutions, guaranties, environmental agreements, subordination agreements, assignments of leases and rents and any other documents or agreements executed in connection with this Indebtedness and Security Instrument, whether now or hereafter existing, including any modifications, extensions, substitutions or renewals

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of any of the foregoing. The Related Documents are hereby made a part of this Security Instrument by reference thereto, with the same force and effect as if fully set forth herein.

INDEBTEDNESS. This Security Instrument secures the principal amount shown above as may be evidenced by a promissory note or notes of even, prior or subsequent date hereto, including future advances and every other indebtedness of any and every kind now or hereafter owing from Walton Farms, LLC a New Mexico limited liability company, Charles Ray Walton, and Merlinda D Ambra Walton to Farm Credit of New Mexico, FLCA, a wholly owned subsidiary of Farm Credit of New Mexico, ACA, howsoever created or arising, whether primary, secondary or contingent, together with any interest or charges provided in or arising out of such indebtedness, as well as the agreements and covenants of this Security Instrument and all Related Documents (hereinafter all referred to as the "Indebtedness").

MATURITY DATE. The Indebtedness, if not paid earlier, shall be due on August 1, 2044.

FUTURE ADVANCES. To the extent permitted by law, this Security Instrument will secure future advances as if such advances were made on the date of this Security Instrument regardless of the fact that from time to time there may be no balance due under the note and regardless of whether Lender is obligated to make such future advances.

CROSS COLLATERALIZATION. It is the expressed intent of Mortgagor to use this Security Instrument to cross collateralize all of its Indebtedness and obligations to Lender, howsoever arising and whensoever incurred, except any obligation existing or arising against the principal dwelling of any Mortgagor.

WARRANTIES. Mortgagor, for itself, its heirs, personal representatives, successors, and assigns, represents, warrants, covenants and agrees with Lender, its successors and assigns, as follows:

Performance of Obligations. Mortgagor promises to perform all terms, conditions, and covenants of this Security Instrument and Related Documents in accordance with the terms contained therein.

Defense and Title to Property. At the time of execution and delivery of this instrument, Mortgagor is lawfully seised of the estate hereby conveyed and has the exclusive right to mortgage, grant, convey and assign the Property. Mortgagor covenants that the Property is unencumbered and free of all liens, except for encumbrances of record acceptable to Lender. Further, Mortgagor covenants that Mortgagor will warrant and defend generally the title to the Property against any and all claims and demands whatsoever, subject to the easements, restrictions, or other encumbrances of record acceptable to Lender, as may be listed in the schedule of exceptions to coverage in any abstract of title or title insurance policy insuring Lender's interest in the Property.

Condition of Property. Mortgagor promises at all times to preserve and to maintain the Property and every part thereof in good repair, working order, and condition and will from time to time, make all needful and proper repairs so that the value of the Property shall not in any way be impaired.

Removal of any Part of the Property. Mortgagor promises not to remove any part of the Property from its present location, except for replacement, maintenance and relocation in the ordinary course of business.

Alterations to the Property. Mortgagor promises to abstain from the commission of any waste on or in connection with the Property. Further, Mortgagor shall make no material alterations, additions, or improvements of any type whatsoever to the Property, regardless of whether such alterations, additions, or improvements would increase the value of the Property, nor permit anyone to do so except for tenant improvements and completion of items pursuant to approved plans and specifications, without Lender's prior written consent, which consent may be withheld by Lender in its sole discretion. Mortgagor will comply with all laws and regulations of all public authorities having jurisdiction over the Property including, without limitation, those relating to the use, occupancy and maintenance thereof and shall upon request promptly submit to Lender evidence of such compliance.

Due on Sale - Lender's Consent. Mortgagor shall not sell, further encumber or otherwise dispose of, except as herein provided, any or all of its interest in any part of or all of the Property without first obtaining the written consent of Lender. If any encumbrance, lien, transfer or sale or agreement for these is created, Lender may declare immediately due and payable, the entire balance of the Indebtedness.

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Insurance. Mortgagor promises to keep the Property insured against such risks and in such form as may within the sole discretion of Lender be acceptable, causing Lender to be named as loss payee or if requested by Lender, as mortgagee. The insurance company shall be chosen by Mortgagor subject to Lender's approval, which shall not be unreasonably withheld. All insurance policies must provide that Lender will get a minimum of 30 days notice prior to cancellation. At Lender's discretion, Mortgagor may be required to produce receipts of paid premiums and renewal policies. If Mortgagor fails to obtain the required coverage, Lender may do so at Mortgagor's expense. Mortgagor hereby directs each and every insurer of the Property to make payment of loss to Lender with the proceeds to be applied, only at Lender's option, to the repair and replacement of the damage or loss or to be applied to the Indebtedness with the surplus, if any, to be paid by Lender to Mortgagor.

Payment of Taxes and Other Applicable Charges. Mortgagor promises to pay and to discharge liens, encumbrances, taxes, assessments, lease payments and any other charges relating to the Property when levied or assessed against Mortgagor or the Property.

Environmental Laws and Hazardous or Toxic Materials. Mortgagor and every tenant have been, are presently and shall continue to be in strict compliance with any applicable local, state and federal environmental laws and regulations. Further, neither Mortgagor nor any tenant shall manufacture, store, handle, discharge or dispose of hazardous or toxic materials as may be defined by any state or federal law on the Property, except to the extent the existence of such materials has been presently disclosed in writing to Lender. Mortgagor will immediately notify Lender in writing of any assertion or claim made by any party as to the possible violation of applicable state and federal environmental laws including the location of any hazardous or toxic materials on or about the Property. Mortgagor indemnifies and holds Lender harmless from, without limitation, any liability or expense of whatsoever nature incurred directly or indirectly out of or in connection with: (a) any environmental laws affecting all or any part of the Property or Mortgagor; (b) the past, present or future existence of any hazardous materials in, on, under, about, or emanating from or passing through the Property or any part thereof or any property adjacent thereto; (c) any past, present or future hazardous activity at or in connection with the Property or any part thereof; and (d) the noncompliance by Mortgagor or Mortgagor's failure to comply fully and timely with environmental laws.

Financial Information. Mortgagor agrees to supply Lender such financial and other information concerning its affairs and the status of any of its assets as Lender, from time to time, may reasonably request. Mortgagor further agrees to permit Lender to verify accounts as well as to inspect, copy and to examine the books, records, and files of Mortgagor.

Lender's Right to Enter. Lender or Lender's agents shall have the right and access to inspect the Property at all reasonable times in order to attend to Lender's interests and ensure compliance with the terms of this Security Instrument. If the Property, or any part thereof, shall require inspection, repair or maintenance which Mortgagor has failed to provide, Lender, after reasonable notice, may enter upon the Property to effect such obligation; and the cost thereof shall be added to the Indebtedness and paid on Lender's demand by Mortgagor.

ASSIGNMENT OF LEASES AND RENTS. As additional security for the payment of the Indebtedness and the performance of the covenants contained herein, Mortgagor hereby assigns and transfers over to Lender any present or future leases, subleases, or licenses of the Property, including any guaranties, extensions, amendments, or renewals thereof, and all rents, income, royalties, and profits derived from the use of the Property or any portion of it, whether due or to become due (collectively the "Rents"). So long as Mortgagor is not in default, Mortgagor may receive, collect and enjoy all Rents accruing from the Property, but not more than one month in advance of the due date. Lender may also require Mortgagor, tenant and any other user of the Property to make payments of Rents directly to Lender. However, by receiving any such payments, Lender is not, and shall not be considered, an agent for any party or entity. Any amounts collected may, at Lender's sole discretion, be applied to protect Lender's interest in the Property, including but not limited to the payment of taxes and insurance premiums and to the Indebtedness. At Lender's sole discretion, all leases, subleases and licenses must first be approved by Lender.

CONDEMNATION. Mortgagor shall give Lender notice of any action taken or threatened to be taken by private or public entities to appropriate the Property or any part thereof, through condemnation, eminent domain or any

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other action. Further, Lender shall be permitted to participate or intervene in any of the above described proceedings in any manner it shall at its sole discretion determine. Lender is hereby given full power, right and authority to receive and receipt for any and all damages awarded as a result of the full or partial taking or appropriation and in its sole discretion, to apply said awards to the Indebtedness, whether or not then due or otherwise in accordance with applicable law. Unless Lender otherwise agrees in writing, any application of proceeds to the Indebtedness shall not extend or postpone the due date of the payments due under the Indebtedness or change the amount of such payments.

MORTGAGOR'S ASSURANCES. At any time, upon a request of Lender, Mortgagor will execute and deliver to Lender, and if appropriate, cause to be recorded, such further mortgages, assignments, assignments of leases and rents, security agreements, pledges, financing statements, or such other document as Lender may require, in Lender's sole discretion, to effectuate, complete and to perfect as well as to continue to preserve the Indebtedness, or the lien or security interest created by this Security Instrument.

ATTORNEY-IN-FACT. Mortgagor appoints Lender as attorney-in-fact on behalf of Mortgagor. If Mortgagor fails to fulfill any of Mortgagor's obligations under this Security Instrument or any Related Documents, including those obligations mentioned in the preceding paragraph, Lender as attorney-in-fact may fulfill the obligations without notice to Mortgagor. This power of attorney shall not be affected by the disability of the Mortgagor.

EVENTS OF DEFAULT. The following events shall constitute default under this Security Instrument (each an "Event of Default"):

(a) Failure to make required payments when due under Indebtedness;
(b) Failure to perform or keep any of the covenants of this Security Instrument or a default under any of the Related Documents;
(c) The making of any oral or written statement or assertion to Lender that is false or misleading in any material respect by Mortgagor or any person obligated on the Indebtedness;
(d) The death, dissolution, insolvency, bankruptcy or receivership proceeding of Mortgagor or of any person or entity obligated on the Indebtedness;
(e) Any assignment by Mortgagor for the benefit of Mortgagor's creditors;
(f) A material adverse change occurs in the financial condition, ownership, or management of Mortgagor or any person obligated on the Indebtedness; or
(g) Lender deems itself insecure for any reason whatsoever.

REMEDIES ON DEFAULT. Upon the occurrence of an Event of Default, Lender may, without demand or notice, pay any or all taxes, assessments, premiums, and liens required to be paid by Mortgagor, effect any insurance provided for herein, make such repairs, cause the abstracts of title or title insurance policy and tax histories of the Property to be certified to date, or procure new abstracts of title or title insurance and tax histories in case none were furnished to it, and procure title reports covering the Property, including surveys. The amounts paid for any such purposes will be added to the Indebtedness and will bear interest at the rate of interest otherwise accruing on the Indebtedness until paid. In the event of foreclosure, the abstracts of title or title insurance shall become the property of Lender. All abstracts of title, title insurance, tax histories, surveys, and other documents pertaining to the Indebtedness will remain in Lender's possession until the Indebtedness is paid in full.

IN THE EVENT OF THE SALE OF THIS PROPERTY UNDER THE PROCEDURE FOR FORECLOSURE OF A SECURITY INSTRUMENT BY ADVERTISEMENT, AS PROVIDED BY APPLICABLE LAW, OR IN THE EVENT LENDER EXERCISES ITS RIGHTS UNDER THE ASSIGNMENT OF LEASES AND RENTS, THE MORTGAGOR HEREBY WAIVES ANY RIGHT TO ANY NOTICE OTHER THAN THAT PROVIDED FOR SPECIFICALLY BY STATUTE, OR TO ANY JUDICIAL HEARING PRIOR TO SUCH SALE OR OTHER EXERCISE OF RIGHTS.

Upon the occurrence of an Event of Default, Lender may, without notice unless required by law, and at its option, declare the entire Indebtedness due and payable, as it may elect, regardless of the date or dates of maturity thereof and, if permitted by state law, is authorized and empowered to cause the Property to be sold at public auction, and to execute and deliver to the purchaser or purchasers at such sale any deeds of conveyance good and sufficient at law, pursuant to the statute in such case made and provided, and out of the proceeds of the sale to retain the sums then due hereunder and all costs and charges of the sale, including attorneys' fees, rendering any surplus to the party or parties entitled to it. Any such sale or a sale made pursuant to a judgment or a decree for the foreclosure

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hereof may, at the option of Lender, be made en masse. The commencement of proceedings to foreclose this Security Instrument in any manner authorized by law shall be deemed as exercise of the above option.

Upon the occurrence of an Event of Default, Lender shall immediately be entitled to make application for and obtain the appointment of a receiver for the Property and of the earnings, income, issue and profits of it, with the powers as the court making the appointments confers. Mortgagor hereby irrevocably consents to such appointment and waives notice of any application therefor.

REDEMPTION. If this Security Instrument is foreclosed, the period of redemption shall be one month, unless otherwise agreed to by the parties in writing.

NO WAIVER. No delay or failure of Lender to exercise any right, remedy, power or privilege hereunder shall affect that right, remedy, power or privilege nor shall any single or partial exercise thereof preclude the exercise of any right, remedy, power or privilege. No Lender delay or failure to demand strict adherence to the terms of this Security Instrument shall be deemed to constitute a course of conduct inconsistent with Lender's right at any time, before or after an event of default, to demand strict adherence to the terms of this Security Instrument and the Related Documents.

JOINT AND SEVERAL LIABILITY. If this Security Instrument should be signed by more than one person, all persons executing this Security Instrument agree that they shall be jointly and severally bound, where permitted by law.

SURVIVAL. Lender's rights in this Security Instrument will continue in its successors and assigns. This Security Instrument is binding on all heirs, executors, administrators, assigns, and successors of Mortgagor.

NOTICES AND WAIVER OF NOTICE. Unless otherwise required by applicable law, any notice or demand given by Lender to any party is considered effective: (i) when it is deposited in the United States Mail with the appropriate postage; (ii) when it is sent via electronic mail; (iii) when it is sent via facsimile; (iv) when it is deposited with a nationally recognized overnight courier service; (v) on the day of personal delivery; or (vi) any other commercially reasonable means. Any such notice shall be addressed to the party given at the beginning of this Security Instrument unless an alternative address has been provided to Lender in writing. To the extent permitted by law, Mortgagor waives notice of Lender's acceptance of this Security Instrument, defenses based on suretyship, any defense arising from any election by Lender under the United States Bankruptcy Code, Uniform Commercial Code, as enacted in the state where Lender is located or other applicable law or in equity, demand, notice of acceleration, notice of nonpayment, presentment, protest, notice of dishonor and any other notice.

TO THE EXTENT PERMITTED BY LAW, MORTGAGOR WAIVES ANY RIGHT TO NOTICE, OTHER THAN THE NOTICE PROVIDED ABOVE, AND WAIVES ANY RIGHT TO ANY HEARING, JUDICIAL OR OTHERWISE, PRIOR TO LENDER EXERCISING ITS RIGHTS UNDER THIS SECURITY INSTRUMENT.

WAIVER OF APPRAISEMENT RIGHTS. Mortgagor waives all appraisement rights relating to the Property to the extent permitted by law.

LENDER'S EXPENSES. Mortgagor agrees to pay all expenses incurred by Lender in connection with enforcement of its rights under the Indebtedness, this Security Instrument or in the event Lender is made party to any litigation because of the existence of the Indebtedness or this Security Instrument, as well as court costs, collection charges and reasonable attorneys' fees and disbursements.

ASSIGNABILITY. Lender may assign or otherwise transfer this Security Instrument or any of Lender's rights under this Security Instrument without notice to Mortgagor. Mortgagor may not assign this Security Instrument or any part of the Security Instrument without the express written consent of Lender.

GOVERNING LAW. This Security Instrument will be governed by the laws of the State of New Mexico including all proceedings arising from this Security Instrument.

SEVERABILITY. If a court of competent jurisdiction determines any term or provision of this Security Instrument is invalid or prohibited by applicable law, that term or provision will be ineffective to the extent required. Any term or provision that has been determined to be invalid or prohibited will be severed from the rest

of the Security Instrument without invalidating the remainder of either the affected provision or this Security Instrument.

WAIVER OF JURY TRIAL. All parties to this Security Instrument hereby knowingly and voluntarily waive, to the fullest extent permitted by law, any right to trial by jury of any dispute, whether in contract, tort, or otherwise, arising out of, in connection with, related to, or incidental to the relationship established between them in this Security Instrument or any other instrument, document or agreement executed or delivered in connection with this Security Instrument or the Related Documents.

ORAL AGREEMENTS DISCLAIMER. This Security Instrument represents the final agreement between the parties and may not be contradicted by evidence of prior, contemporaneous or subsequent oral agreements of the parties. There are no unwritten oral agreements between the parties.

COVENANTS. On the date of this Agreement and continuing until the Indebtedness is repaid and Borrower's obligations are fully performed, Borrower covenants as follows.
- Together with all water rights appurtenant to the described real estate including a pro rata interest in the water and water rights of the EBID Conservancy District, U.S.B.R. Project, by reason of the inclusion of the above described land or a portion thereof, within said District.
- Together with water and water rights, wells, pumps, motors and equipment used for the irrigation of said lands.
- Orchard Rider Number 1, attached hereto and made a part hereof.

By signing this Security Instrument, each Mortgagor acknowledges that all provisions have been read and understood.

Charles Ray Walton Individually	8/12/2019 Date	Merlinda D Ambra Walton Individually	8/12/19 Date

EXHIBIT A

Property Description

A tract of land situate South of Mesilla, Dona Ana County, New Mexico, located in Sections 31 and 32, T.23S., R.2E., N.M.P.M. of the U.S.R.S. Surveys, being U.S.R.S. Tract 13-1A, and being more particularly described as follows, to wit:

BEGINNING at a 1/2" iron rod set on the Northerly line of Carver Road for the Southwest corner of this tract IDENTICAL to the Southwest corner of U.S.R.S. Tract 13—1A.

THENCE, from the point of beginning, leaving Carver Road, N.30°52'00"W., a distance of 873.88 feet to a 1/2" iron rod set for a corner;

THENCE S.59°08'00"W., a distance of 415.10 feet to a 1/2" iron rod set on the Easterly line of the Park Drain for a corner

THENCE along the Easterly line of the Park Drain the following three courses and distances: N.31°09'00"W., a distance of 630.92 feet to a 1/2" iron rod set for an angle point;

THENCE S.58°51'04"W., a distance of 27.70 feet to a 1/2" iron rod set for an angle point;

THENCE N.29°59'06"W., a distance of 382.21 feet to a 1/2" iron rod set for the Northwest corner of this tract

THENCE, leaving the Park Drain, N.68°08'20"E., a distance of 620.17 feet to a 1/2" iron rod set for an angle point;

THENCE N.81°19'28"E., a distance of 416.52 feet to a 1/2" iron rod found for the Northeast corner of this tract;

THENCE S.31°10'30"E., a distance of 798.18 feet to a 1/2" iron rod set for a corner;

THENCE S.60°40'00"W., a distance of 512.60 feet to a 1/2" iron rod set for a corner;

THENCE S.30°52'00"E., a distance of 846.79 feet to a 1/2" iron rod set on the Northerly line of Carver Road for the Southeast corner of this tract;

THENCE, along the Northerly line of Carver Road, S.60°03'30"W., a distance of 50.01 feet to the point of beginning; SAVING AND EXCEPTING the following 1.264 acre tract: BEGINNING at a 1/2" iron rod found for the Southeast corner of this tract; WHENCE the Southwest corner of U.S.R.S. Tract 13-1A bears S.09°54'33"E., 1240.76 feet;

THENCE, from the point of beginning, S.63°03'37"W., 452.90 feet to a 1/2" iron rod found for the Southwest corner;

THENCE N.26°39'23"W., 207.55 feet to a 1/2" iron rod found for the Northwest corner;

THENCE N.77°57'43"E., 191.13 feet to a 1/2" iron rod found for an angle point;

THENCE S.86°16'40"E., 310.61 feet to the point of beginning, leaving a net acreage of 20.819 acres, more or less.

EXHIBIT A

Property Description

PARCEL 1:

A tract of land situate South of Mesilla, Dona Ana County, New Mexico, located in Section 31 and 32, T.23S., R.2E., N.M.P.M. of the U.S.R.S. Surveys, being U.S.R.S. Tract 13-3C, and being more particularly described as follows, to wit:

BEGINNING at a 1/2" iron rod found for the Southeast corner of this tract: WHENCE the Southwest corner of U.S.R.S. Tract 13-1A and the Southwest corner of the above described 20.819 acre tract bears S.09°54'33"E., 1240.76 feet;

THENCE, from the point of beginning, S.63°03'37"W., a distance of 452.90 feet to a 1/2" iron rod found for the Southwest corner of this tract;

THENCE N.26°39'23"W., a distance of 207.55 feet to a 1/2" iron rod found for the Northwest corner of this tract;

THENCE N.77°57'43"E., a distance of 191.13 feet to a 1/2" iron rod found for an angle point;

THENCE S.86°16'40"E., a distance of 310.61 feet to the point of beginning, enclosing 1.264 acres of land, more or less.

PARCEL 2:

A non-exclusive easement for road purposes for access to and from the above described Parcel 1, being more fully described as follows:

BEGINNING at a point on the Northerly line of Carver Road, being the Southwest corner of this easement and the Southwest corner of U.S.R.S Tract 13-3A;

THENCE from the point beginning, N.30°52'00"W., 1189.14 feet to the Northwest corner of this easement, and the southerly boundary of Parcel 1 above;

THENCE N.63°03'37"E., 50.12 feet along the southerly boundary of Parcel 1 to the Northeast corner of this easement;

THENCE S.30°52'00"E., 1186.52 feet to a 1/2" iron rod set on the Northerly line of Carver Road, being the Southeast corner of this easement and the Southeast corner of U.S.R.S. Tract 13-3A;

THENCE S.60°03'30"W., 50.01 feet, more or less, along the Northerly line of Carver Road to the place of beginning.

Addendum

Addendum to Mortgage Dated: 08/06/2019

ORCHARD MORTGAGE RIDER

Farm Credit

MORTGAGE RIDER NUMBER 1

The Mortgagor does further covenant and agree with the Lender:

> That the loan secured by this mortgage is made in contemplation of there now being and hereafter remaining on the mortgaged premises, as a considerable part of the security, certain trees, vines and shrubs bearing fruit or other products or expected to come into bearing; that the mortgagor will plant or replace any trees, vines, or shrubs that shall die, decay or become unprofitable; that mortgagor will properly maintain and care for said trees, vines, and shrubs in a good and husbandlike manner by properly irrigating, cultivating, pruning, spraying and protecting the same against insect pest, blights, disease and other destructive elements.

It is intended that this rider shall be a part of the mortgage to which it is attached, to the same extent as if it were set out in full therein.

Walton Farms, LLC a New Mexico limited liability company

Charles R. Walton	8/12/2019		8/12/19
By: Charles R. Walton	Date	By: Merlinda Walton	Date
Its: Managing Member		Its: Managing Member	

INDIVIDUAL ACKNOWLEDGMENT

STATE OF NEW MEXICO)
)
COUNTY OF Dona Ana)

This instrument was acknowledged by Merlinda D Ambra Walton and Charles Ray Walton, before me on 8 12 19. In witness whereof, I hereunto set my hand and, if applicable, my official seal.

My commission expires: 8 13 21

Notary Public
Dona Ana
County, NM

(Official Seal)

OFFICIAL SEAL
TARA MUNOZ
Notary Public
State of New Mexico
My Comm. Expires 8 13 21

BUSINESS ACKNOWLEDGMENT

STATE OF NEW MEXICO)
)
COUNTY OF Dona Ana)

This instrument was acknowledged on the August 12, 2019, by Charles R. Walton, Managing Member and Merlinda Walton, Managing Member on behalf of Walton Farms, LLC a New Mexico limited liability company, a New Mexico Limited Liability Company, who personally appeared before me.

In witness whereof, I hereunto set my hand and, if applicable, official seal.

My commission expires: 2-13-21

Notary Public

Dona Ana

County, NM

(Official Seal)

OFFICIAL SEAL
TARA MUNOZ
Notary Public
State of New Mexico
My Comm. Expires 2-13-21

THIS INSTRUMENT WAS PREPARED BY:
Farm Credit of New Mexico, ACA
2800 Las Vegas Ct, PO Box 15039
Las Cruces, NM 88004

AFTER RECORDING RETURN TO:
Farm Credit of New Mexico Las Cruces
P O Box 15039
Las Cruces, NM 88004

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